higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE (VOCATIONAL)

FINANCIAL MANAGEMENT
NQF LEVEL 2

27 NOVEMBER 2019

This marking guideline consists of 6 pages.

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SECTION A

QUESTION 1

1.1	1.1.1	C		
	1.1.2	B		
	1.1.3	B		
	1.1.4	D		
	1.1.5	A		
	1.1.6	D		
	1.1.7	C		
	1.1.8	A		
	1.1.9	A		
	1.1.10	B		
	1.1.11	C		
	1.1.12	C		
	1.1.13	A		
	1.1.14	D		
	1.1.15	B		
			(15 × 1)	(15)

1.2	1.2.1	E		
	1.2.2	N		
	1.2.3	H		
	1.2.4	D		
	1.2.5	A		
	1.2.6	K		
	1.2.7	G		
	1.2.8	C		
	1.2.9	J		
	1.2.10	L		
			(10 × 1)	(10)
				[25]

QUESTION 2

2.1	2.1.1	True		
	2.1.2	False		
	2.1.3	True		
	2.1.4	False		
	2.1.5	True		
	2.1.6	False		
	2.1.7	True		
	2.1.8	True		
	2.1.9	True		
	2.1.10	True		
			(10 × 1)	(10)

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2.2	2.2.1	Credit
	2.2.2	Cash payments
	2.2.3	Credit
	2.2.4	Irregular
	2.2.5	Negative
	2.2.6	Bank
	2.2.7	Deposit
	2.2.8	Electronic fund
	2.2.9	Petty
	2.2.10	Debit
	2.2.11	Five
	2.2.12	Duplicate
	2.2.13	Partnership
	2.2.14	Dividends
	2.2.15	Original

(15 × 1) (15)
[25]

TOTAL SECTION A: 50

SECTION B

QUESTION 3

3.1	3.1.1	R17 240✓ + R1 200✓ = R18 440✓ – favourable✓	(4)
	3.1.2	Donald and Duck Veggies✓ – current account✓	(2)
	3.1.3	SARS deposited R1 005 directly into the account of Donald and Duck Veggies.✓✓ OR: SARS refunded the business with R1 005.	(2)
	3.1.4	D/O stands for debit order.✓ The balance will decrease.✓	(2)
	3.1.5	R102✓ + R175✓ = R277✓	(3)
	3.1.6	• For holding the business's money at the bank • For handling bank accounts (recording all transactions) • For services provided by the bank (ATM, teller, internet banking) (Any 2 × 1)	(2)
	3.1.7	Big Feet Bank deposited R4 500 directly into the account of Donald and Dick Veggies for rent.	(2)

3.2

VEGGIES GALORE

CASH RECEIPT

DATE: 30 November 2018✓ NO.: 422✓

RECEIVED FROM: Donald and Duck Veggies✓

AMOUNT: Five thousand five hundred rand✓

R5 500.00✓

_____

_

FOR: Sales (OR: Fresh fruit)✓

WITH THANKS: Mr Carrot✓

(SIGNATURE)

(7)

3.3
- Make sure that all liabilities are recorded in the correct books.
- Plan ahead and make sure all debts can be paid on time.
- Make sure that there are not too many debts compared to assets. The value of assets must always be equal or more than the value of the liabilities.
- Get rid of liabilities as soon as possible. The quicker you pay them off, the more you will save.

(Any 2 × 2) (4)

3.4 3.4.1 R677 000✓ + R355 000✓ = R322 000✓ (3)

3.4.2 The business has progressed.✓
Reasons:
The business might have gained more customers, which increased its sales income.✓✓
The business might have improved its sales strategies over the years. (3)

3.5 The balance sheet indicates the financial position✓ of the business for the financial period, normally a year.✓ (2)

3.6 3.6.1 Cash receipts journal
3.6.2 Cash payments journal
3.6.3 Creditors journal
3.6.4 General ledger

(4 × 1) (4)

[40]

QUESTION 4

4.1 4.1.1 R956 800 × 15%✓ = R143 520✓

4.1.2 R413 600 × 15/115✓ = R53 947.83✓

4.1.3 R143 520 – R57 947.83✓ = R89 572.17 – refundable✓

(3 × 2) (6)

4.2 4.2.1 Cost per hour
Hours worked: 5 employees x 200 hours each = 1 000 hours

Costs: Rent R7 000 ÷ 1 000 hours = R7 per hour✓
Other cost: R5 000 ÷ 1 000 hours = R5 per hour✓
Salary of dressmakers = R120 per hour✓
= R132 per hour✓

Production cost per dress: 12 hours × R132 = R1 584✓
Profit mark-up: 25% (1 584 × 25%) = R 396✓
Selling price = R1 980✓✓

(8)

4.2.2 Discount: R1 980 × 2.5%✓ = R49.50✓✓ (3)

4.3 R3 500 × 6.5%✓ = R227,50✓
= R3 272,50✓ (3)

[20]

QUESTION 5

5.1 5.1.1
- Drawer – King Kong Suppliers
- Drawee – ASBA Bank
- Payee – Impisi Locks (3)

5.1.2 No,✓ as from 1 August 2001 no changes of any kind can be made on a cheque, even if the drawer has signed the amendment.✓✓ (3)

5.1.3 Special crossing✓ – It can be paid ONLY into the account of Impisi Locks.✓✓ (3)

5.1.4 Yes,✓ but it will only be valid if Lion King has an account at ASBA Springs or at any other ASBA branch.✓✓ (3)

5.2
- The date of the deposit
- The name of the depositor
- The amount (Any 2 × 1) (2)

5.3
- The imprest system
- The system of varying balance (2)

5.4 No staff member must be allowed to borrow money from the petty cash.✓✓
A senior staff member must regularly check if the actual amount of cash in the petty cash box balances with the entries.✓✓
All petty cash vouchers must be audited to ensure that the payments are authorised and valid.✓
Regular inspections must be carried out to ensure that the necessary precautions regarding the safekeeping of the money are taken. (4)
[20]

QUESTION 6

6.1 Income statement for the year ended 30 November 2018

Sales (480 000✓ + 798 000✓)		1 278 000✓
Less: Cost of sales		(852 000)✓
Gross profit		426 000☑
Plus: Income		13 000☑
Rent income	13 000✓	
Gross income		439 000✓
Less: Expenses		(83 900)☑
Water and electricity	17 600✓	
Salaries	62 000✓	
Telephone	4 300✓	
Net profit before interest and tax		355 100
Less: Interest on loan		(31 000)✓
Net profit for the year		324 100☑

☑ = principle mark (14)

6.2

NUMBER	ITEM	INCREASE/DECREASE
6.2.1	Interest on investment	Increase✓
6.2.2	Taxation	Decrease✓
6.2.3	Dividends	Decrease✓
6.2.4	Shrinkage	Decrease✓

(4)

6.3
- Poor internal measures of management
- Poor utilisation of business resources
- Wastage of resources by employees and management of the business
- Better prices than those of competitors (Any 1 × 2) (2)

[20]

TOTAL SECTION B: 100
GRAND TOTAL: 150

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